

UNITED STATES SECURITIES AND EXCHANGE COMMISSION

Washington, D.C. 20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2024

Commission file number: 001-38847

ACME CORPORATION

(Exact name of registrant as specified in its charter)

State of incorporation: Delaware

IRS Employer Identification No.: 84-2204471

Principal offices: 1200 Market Street, Suite 400

City, State, ZIP: New York, NY 10005

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, or a smaller reporting company. Large accelerated filer ☒

PART I

ITEM 1. BUSINESS

Acme Corporation ("Acme," "the Company," "we," "us," or "our") is a financial technology company incorporated in Delaware in 2014. The Company provides data analytics, workflow automation, and compliance management software to institutional clients in the financial services industry. Our platform serves investment managers, broker-dealers, and registered investment advisers subject to SEC and FINRA regulatory oversight.

As of December 31, 2024, Acme served 271 institutional clients across 15 countries and employed approximately 1,610 full-time employees. Revenues for fiscal year 2024 were \$235.3 million, representing an 18% increase over fiscal year 2023.

ITEM 1A. RISK FACTORS

The following risk factors could materially and adversely affect our business, financial condition, results of operations, and the trading price of our common stock. These risks are not the only ones we face. Additional risks and uncertainties not currently known to us or that we currently consider immaterial may also materially affect our business.

Cybersecurity and Data Security Risks

We process, store, and transmit large volumes of sensitive financial data on behalf of our clients. A security breach, unauthorized access, or cyberattack could expose our clients' proprietary investment data, trading activity, and personally identifiable information. Such an incident could result in regulatory investigation, civil litigation, reputational damage, and material financial loss. We cannot guarantee that our security measures will prevent every attempted attack.

Our cybersecurity program is overseen by the Board's Audit and Risk Committee, which receives quarterly briefings from the Chief Information Security Officer (CISO). We carry cyber liability insurance with aggregate coverage of \$35 million per incident. We have implemented multi-factor authentication and end-to-end encryption for data in transit and at rest, and in Q4 2024 we began a phased rollout of a zero-trust network architecture across our production environments.

Regulatory and Compliance Risks

Our clients operate in heavily regulated industries and rely on our platform to support their compliance obligations. Changes in SEC, FINRA, or other regulatory requirements could require significant modifications to our software, increasing our cost of compliance and potentially delaying product releases. We are subject to periodic examination by the SEC under its Technology Controls Program. No deficiencies have been identified as of the date of this filing.

Concentration and Customer Risks

Our ten largest clients collectively accounted for 41% of total revenue for fiscal year 2024. The loss of any single top-ten client could have a material adverse effect on our results of operations. Our largest single client, a major U.S. asset manager, accounted for approximately 8.1% of total revenue in fiscal year 2024. This client's contract expires in September 2026 and is subject to renewal negotiation.

Reference Rate Transition Risks

Portions of our legacy client contracts and our revolving credit facility historically referenced the London Interbank Offered Rate (LIBOR). Following the cessation of the remaining synthetic U.S. dollar LIBOR settings in September 2024, we transitioned affected agreements to the Secured Overnight Financing Rate (SOFR). Residual disputes over fallback language in a small number of legacy client contracts could result in pricing adjustments or renegotiation costs. We do not expect the remaining transition exposure to be material, but the outcome of any such disputes cannot be predicted with certainty.

PART II

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS

Results of Operations - Fiscal Year 2024 vs. Fiscal Year 2023

Total Revenue: FY 2024 \$235.3M; FY 2023 \$198.6M; Change +\$36.7M; +18.5%

Recurring SaaS Revenue: FY 2024 \$193.4M; FY 2023 \$158.2M; Change +\$35.2M; +22.2%

Professional Services: FY 2024 \$41.9M; FY 2023 \$40.4M; Change +\$1.5M; +3.7%

Gross Profit: FY 2024 \$157.7M; FY 2023 \$130.3M; Change +\$27.4M; +21.0%

Gross Margin: FY 2024 67.0%; FY 2023 65.6%; +140 bps

Operating Income: FY 2024 \$28.4M; FY 2023 \$19.8M; Change +\$8.6M; +43.4%

Net Income: FY 2024 \$20.6M; FY 2023 \$13.9M; Change +\$6.7M; +48.2%

Diluted EPS: FY 2024 \$1.21; FY 2023 \$0.83; Change +\$0.38; +45.8%

Revenue growth in fiscal year 2024 was driven by new client signings in the registered investment adviser segment and continued expansion within existing accounts. Recurring SaaS revenue grew 22.2% year over year, reflecting a net revenue retention rate of 114% for the trailing twelve months ended December 31, 2024. Gross margin expansion of 140 basis points reflects a mix shift toward SaaS modules.

ITEM 9A. CONTROLS AND PROCEDURES

Disclosure Controls and Procedures. Our principal executive officer and principal financial officer evaluated the effectiveness of our disclosure controls and procedures as of December 31, 2024. Based on that evaluation, they concluded that our disclosure controls and procedures were effective as of December 31, 2024.

Management's Report on Internal Control Over Financial Reporting. Management is responsible for establishing and maintaining adequate internal control over financial reporting. Management assessed the effectiveness of our internal control over financial reporting as of December 31, 2024 and concluded that it was effective. Our independent registered public accounting firm, Hartley & Brennan LLP, issued an attestation report on our internal control over financial reporting, which appears in Part II of this Annual Report.

This document is an excerpt prepared for demonstration and testing purposes. It represents the structure and content of a public company 10-K filing but does not constitute an actual SEC filing. Acme Corporation is a fictional entity.